

MEMORANDUM

TO: Head of Growth & Head of Seller Operations, TradeZone
FROM: Alabi Faruk, Data Analyst
DATE: April 23, 2026
SUBJECT: 2023–2024 TradeZone Performance Review & 2025 Strategic Planning

1. Executive Summary

TradeZone experienced significant transaction volume through 2023 and 2024, but this topline growth is masking dangerous underlying inefficiencies, particularly an over-reliance on a small segment of high-spending customers and structural data gaps caused by poor seller hygiene. To ensure profitable scaling in 2025, the platform must transition away from aggressive, generalized user acquisition and immediately prioritize VIP customer retention and strict, automated seller quality control.

2. Key Findings

- **Finding 1: Revenue Concentration within the High Spender Segment** Our customer segmentation analysis reveals that "High Spenders" (customers spending $\geq$ ₦100,000) contribute a massively disproportionate share of our total platform revenue, with average individual spends exceeding ₦150,000. Conversely, the "Low Spenders" cohort represents a high volume of users but yields negligible profit margins. This indicates that our current marketing efforts are likely capturing low-intent "window shoppers," whereas the true financial health of the platform relies on a tiny fraction of highly active buyers.
- **Finding 2: Unattributed Revenue and "Ghost Products"** During our product performance review, we discovered thousands of Naira in sales attributed to completely blank (NULL) product names and categories. This means sellers are bypassing basic listing requirements, leading to untrackable inventory and broken search algorithms for buyers. This lack of catalog standardization severely limits our ability to cross-sell products or run targeted category promotions.
- **Finding 3: Disconnect Between Fast Fulfilment and Quality** When analyzing fulfillment efficiency alongside customer ratings, it became clear that the fastest sellers do not necessarily yield the highest customer satisfaction. While several sellers maintain delivery times well under 48 hours, they frequently struggle to maintain a 4.0 average rating, suggesting that they are sacrificing product quality or packaging integrity for speed, which ultimately drives down overall platform trust.

3. Recommendations

- Recommendation 1: Launch the "TradeZone VIP" Retention Protocol

Action: Implement an automated loyalty tier that grants free shipping and priority customer support exclusively to users who cross the ₦100,000 lifetime spend threshold. Shift 30% of the generalized acquisition ad budget into retargeting this specific group.

Responsible: Head of Growth.

Expected Outcome (60–90 days): A 15% increase in the 30-day repeat purchase rate among the High Spender cohort, securing a stable, predictable revenue baseline going into Q3.

- Recommendation 2: Institute Automated Seller Vetting and Suspension

Action: Deploy a script that automatically unlists any product with missing metadata (names/categories) and temporarily suspends any seller whose average rating drops below 3.0 for more than 14 consecutive days. Divert that web traffic exclusively to our proven "Top 10" sellers.

Responsible: Head of Seller Operations.

Expected Outcome (60–90 days): A 20% reduction in customer support tickets regarding poor quality, and a higher platform-wide conversion rate as buyers are algorithmically routed only to trustworthy, high-performing merchants.

4. Data Quality Notes

- Issue 1: Order Item vs. Total Amount Discrepancies I discovered multiple instances where an order's total_amount did not mathematically match the sum of its individual line items in the order_items table. Rather than deleting these records which would have severely underreported our 2024 total revenue and misled the leadership team I created a boolean flag (is_amount_flagged) to isolate them. If my decision to keep them was wrong, our historical revenue totals may be slightly inflated by a checkout bug.
- Issue 2: Duplicate Accounts with Active Foreign Keys The system allowed the creation of exact duplicate customer profiles. However, active orders were tied to these duplicate IDs. I had to manually transfer the order history to the primary account IDs before safely deleting the duplicates. If I had simply deleted the duplicates outright, the database would have triggered foreign key constraint failures, or worse, orphaned the historical order data, making our Customer Lifetime Value (LTV) metrics artificially low.

5. What the Data Cannot Tell Us

Our current dataset tells us what happened, but not why it happened. Specifically, leadership might ask: "Why are newly acquired customers abandoning the platform without making a purchase within their first 30 days?" To answer this, our current transactional database is insufficient. We need to request front-end user behavioral data from the engineering team

specifically, cart abandonment rates, page click-through rates (CTR), average session duration, and mobile app uninstallation logs to identify exactly where the friction in the user journey is occurring.